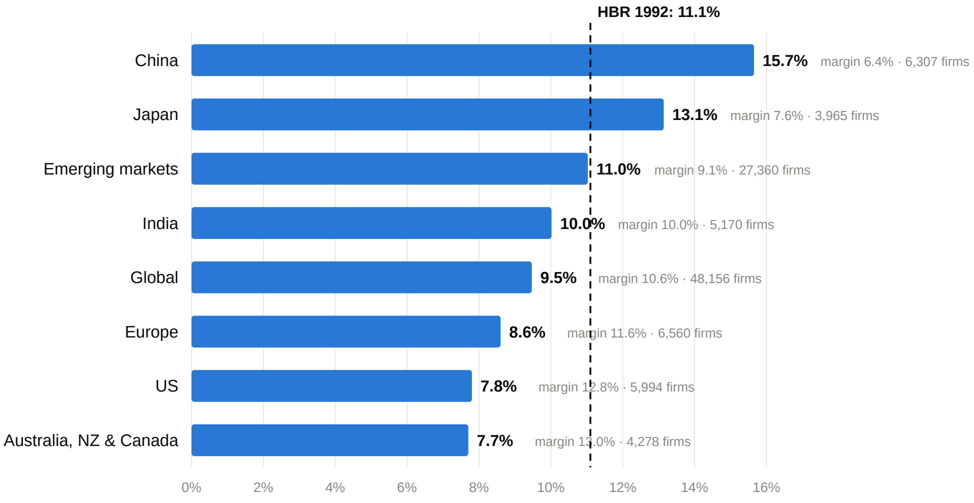
A PRICING STUDY ON OPEN DATA · MARGINS AS OF JANUARY 2026

A 1992 number still turns up in pricing decks: 1% of price is worth 11% of profit. Here is what it is worth now, by region.

The 11% rule, recomputed for every region, January 2026

Operating profit gained from a 1% price improvement, volume unchanged. It is one over the operating margin, so it is a fact about margins: revenue-weighted across every listed company Damodaran covers in each region.

Published in 1992. The US today: 7.8%. Nearest to 11.1 now: emerging markets.



Above the line: thinner margins than the 1992 sample, so a price point is worth more of the profit. Below: less.
Aggregates include loss-makers. The median US industry gives 8.1%; the spread by industry is on the page.

Data: Damodaran, NYU Stern, margin tables by region, Total Market row, pre-tax unadjusted operating margin, Jan 2026 · namikakmandev.github.io/price-leverage.html

MARN & ROSIELLO, HARVARD BUSINESS REVIEW, 1992

The famous number

11.1%

more operating profit from a **1% price improvement**, volume held. More than volume, more than cost. It still turns up in pricing decks, and I have used it myself.

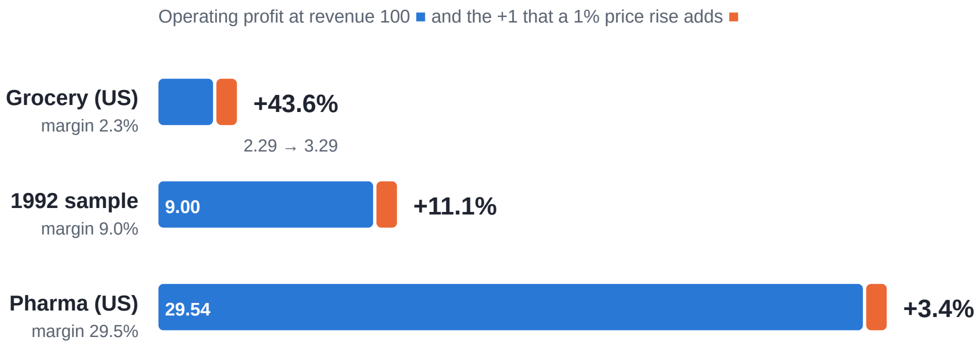
$$\text{profit gain} = \frac{1}{\text{operating margin}} \qquad \text{so } 1 \div 9\% = \mathbf{11.1}$$

Not a finding. Arithmetic. A fact about the margins of one sample of companies, 34 years ago.

REVENUE 100 → 101, SAME VOLUME, COSTS UNCHANGED

How one price point becomes 44% or 3%

The extra revenue has no cost attached, so all of it lands in operating profit. **Every business gains the same +1.** What differs is the profit it is added to.



	Grocery (US)	1992 sample	Pharma (US)
Operating margin	2.3%	9.0%	29.5%
Costs (unchanged)	97.7	91.0	70.5
Profit at revenue 100	2.29	9.00	29.54
Profit at revenue 101	3.29	10.00	30.54
Profit gain	**+43.6%**	**+11.1%**	**+3.4%**

Thin margin, huge leverage. Fat margin, small leverage. The rule is one divided by the operating margin.

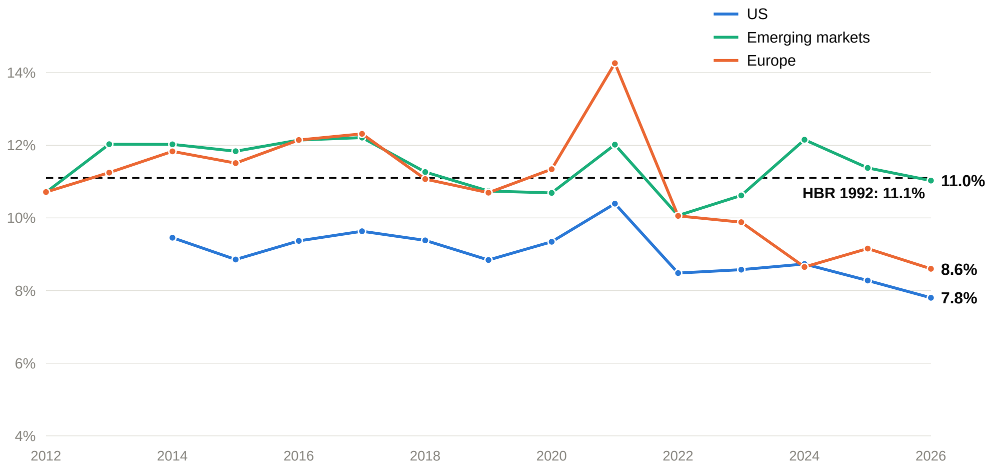
DAMODARAN’S INDUSTRY TABLES, EVERY ARCHIVED EDITION

So I recomputed it, every year

The US is not on the 11% rule. Emerging markets are.

Operating profit gained from a 1% price improvement, one over the aggregate operating margin, one point per edition of Damodaran’s industry tables. Each January edition reflects the previous fiscal year. Dashed: the 1992 figure.

US: below 11.1 in every edition since 2014; 2026: 7.8%. Emerging markets 2026: 11.0%.



Same identity, same source, every year: the line moves only because operating margins do. US margins widened; emerging-market margins did not. Editions are labelled by the January they were published. Earlier US editions use another layout and are kept apart: see the page.

Data: Damodaran, NYU Stern, archived industry margin tables margin<yy>.xls, Total Market row, pre-tax operating margin as labelled in each edition · namikakmandev.github.io/price-leverage.html

ONE OVER THE AGGREGATE OPERATING MARGIN, JANUARY 2026

What 1% of price buys now

US

7.8%

▼ -3.3 vs 11.1 · margin 12.8%

Europe

8.6%

▼ -2.5 vs 11.1 · margin 11.6%

Emerging markets

11.0%

▼ -0.1 vs 11.1 · margin 9.1%

India

10.0%

▼ -1.1 vs 11.1 · margin 10.0%

Japan

13.1%

▲ +2.0 vs 11.1 · margin 7.6%

China

15.7%

▲ +4.6 vs 11.1 · margin 6.4%

The US, where the rule was published, has been below 11.1 in every edition since 2014. Emerging markets have stayed within 1.1 points of it since 2012. **The rule moved. The decks did not.**

WHAT TO DO WITH IT

Two things before you quote it

1. **It is a formula, not a constant.** Your number is one over your operating margin. Pharmaceuticals at 30%: 3.4%. Grocery retail at 2%: 44%. Tobacco at 44%: 2.3%.

2. **Know which market the deck is in.** In the US and Europe, 11.1 flatters the price lever. For an emerging-market aggregate it is still a fair default when the margin is unknown.

Method, every number and both scripts:
namikakmandev.github.io/price-leverage.html
Data: Damodaran, NYU Stern, industry margin tables, eight regions, every archived edition; revenue-weighted, listed companies, volume held constant. Only the price lever is retested.